ASSET MANAGEMENT CHALLENGE 2026 · ROUND 2

A Tactical Deviation with Discretionary Equity Investing

Portfolio D – Inflation Resilient SAA plus a three-stock active sleeve (DG · CHWY · MU)

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Mandate and Investment Approach

WHAT CHANGES IN ROUND 2

We keep the Round 1 SAA as the benchmark and fund a discretionary three-stock sleeve from it, within a 2–5% tracking-error budget.

$98.0M
PORTFOLIO NAV
Round 1 portfolio at 6 Nov close

2–5%
TRACKING ERROR
Ex-ante, annualized, vs the SAA

3
STOCKS
Long-only, no leverage

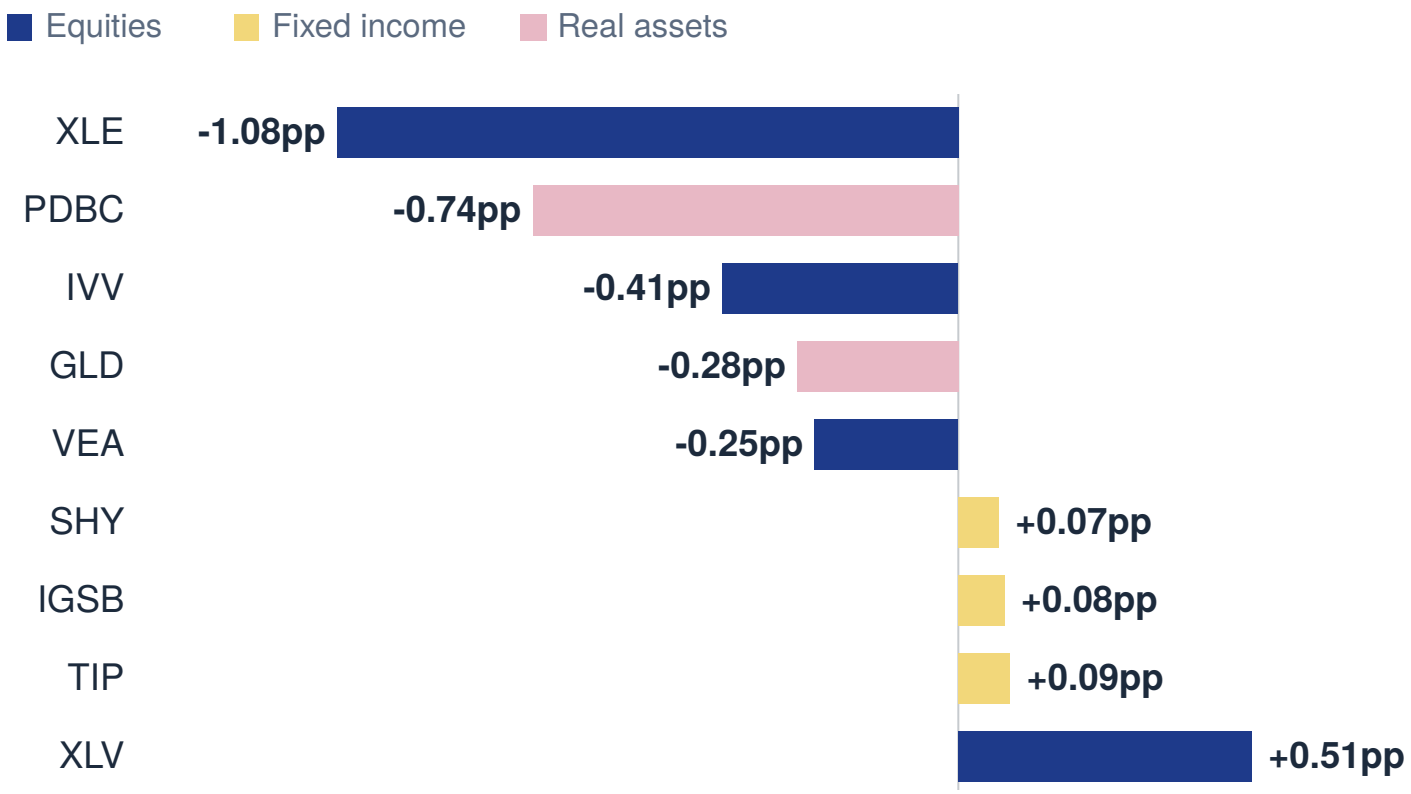
Late Dec
CHALLENGE END
About 7 weeks of holding

OUR ROUND 2 PROCESS

Screen candidates → **Estimate alpha** → **Treynor–Black sizing** → **Tracking-error control** → **Execute in PRTU**

Round 1 Realized Performance

Return contribution by ETF, pp of NAV



–2.00%
CUMULATIVE TOTAL RETURN
NAV $98.00M, confirmed by Bloomberg PRTU

7.1%
REALIZED VOLATILITY
Annualized, vs the 8% SAA target

–4.63
REALIZED SHARPE RATIO
Based on 15 trading days; not a reliable forecast

–1.82pp
XLE + PDBC
Energy and commodities drove almost all of the drawdown

Three Stocks, Three Distinct Theses

Three distinct stock-specific investment theses, each with an earnings catalyst within the challenge window

Stock	Investment thesis	Cost of equity k	Intrinsic value V_0	Price P_0	Margin of safety	Expected α (ann.)	Catalyst
DG Dollar General	Discount-retail recovery 18.0× normalized EPS of $7.65	9.60%	$137.70	$133.75	**+2.9%**	+3.2%	3 Dec Q3 FY2026
CHWY Chewy	Margin expansion despite slower sales 15× forward EPS of $1.77	12.54%	$26.56	$22.56	**+17.7%**	**+19.9%**	10 Dec Q3 FY2026
MU Micron Technology	AI-memory earnings, cyclical valuation 4.5× normalized EPS of $161	14.18%	$724.50	$690.00	**+5.0%**	+5.7%	17 Dec Q1 FY2027

Rejected after analysis: Target, Estée Lauder and Corcept Therapeutics all showed a negative margin of safety or negative alpha under our conservative valuations.

Dollar General: Discount-Retail Recovery

A recovery thesis with a thin buffer: 2.9% upside to an 18× normalized P/E

$7.65	×	18.0×	=	$137.70	vs	$133.75	→	+2.9%
NORMALIZED EPS		P/E MULTIPLE		INTRINSIC VALUE V_0		PRICE P_0 (6 NOV)		MARGIN OF SAFETY

HOW WE VALUED IT

- EPS-based relative valuation; the modest payout makes a DDM less informative
- FY2026 guidance of $7.80–8.00 less ~$0.25 of one-off tariff refund
- 18× sits below Dollar Tree's 19.47× forward P/E for transition risk

CATALYST

- Q3 FY2026 results on 3 Dec, date confirmed by Bloomberg
- Confirmed 2.5–2.9% comp-sales guidance and better inventory and margins could re-rate the stock

KEY RISKS

- Weak lower-income consumer and price competition
- Slower turnaround: a slightly lower multiple erases the margin
- CEO transition expected in 2027, after the holding window

Chewy: Margin Expansion Despite Slower Sales

The largest upside in the sleeve, 17.7%, rests on a 15× peer multiple

$1.77	×	15.0×	=	$26.56	vs	$22.56	→	+17.7%
FORWARD EPS		P/E MULTIPLE		INTRINSIC VALUE V_0		PRICE P_0 (6 NOV)		MARGIN OF SAFETY

HOW WE VALUED IT

- No dividend, so peer relative valuation is the primary method
- Profitable core peers ETSY 14.05×, WOOF 10.28×, EBAY 18.87×: median 14.05×
- 15× adds a modest premium for improving margins

DCF CROSS-CHECK

- Base FCFE DCF gives $27.7 per share, +23%
- Costing stock-based pay at 2.4% of sales cuts it to $18.8, –17%
- The DCF is a sensitivity, not an independent confirmation

CATALYST & RISKS

- Q3 results on 10 Dec
- Adj. EBITDA margin rose to 6.8% in Q2 FY2026 from 5.7% in FY2025
- Risk: further sales slowdown; residual volatility 59%

Micron: AI-Memory Earnings at a Cyclical Valuation

After a 22% sector sell-off we cut the multiple to 4.5× instead of banking the lower price

$161	×	4.5×	=	$724.50	vs	$690.00	→	+5.0%
NORMALIZED EPS FY27		P/E MULTIPLE		INTRINSIC VALUE V_0		PRICE P_0 (6 NOV)		MARGIN OF SAFETY

WHY WE CUT THE MULTIPLE

- MU fell 22% to $690 from 30 Oct to 6 Nov after Kioxia's flat guidance
- Peers re-rated too: SK Hynix –21%, Kioxia –37% forward P/E
- Keeping 6.0× would have lifted the margin of safety to about 40%

SENSITIVITY TO THE MULTIPLE

- 4.0×: margin of safety –6.7%, fails
- 4.5×: +5.0%, our central case
- 5.0×: +16.7%
- Half a turn lower and the call fails

CATALYST & RISKS

- FQ1 FY2027 results on 17 Dec
- HBM contracts or higher guidance could lift the multiple
- Risk: memory-cycle reversal; residual volatility 65.2%

Value-Trap and Quality Checks

Each stock passes on value, but each carries one specific way it could turn out to be a value trap

Company	ROE	FCF margin	Debt / equity	Revenue growth	Gross margin	Capital return
DG	19.7%	3.3%	0.49×	+4.3%	32.6%	Div./FCF ≈ 35%
CHWY	n/m	4.5%	n/m	+7.3%	n/a	Not material
MU	61.4%	44.3%	0.04×	+256.4%	80.7%	Low

WHAT COULD MAKE IT A VALUE TRAP

DG

Thin 2.9% margin depends on a margin recovery that could come slower or weaker

CHWY

Margin gains may not reach shareholders once stock-based pay dilution is costed

MU

FY2026 margins may mark a cycle peak; normalized EPS could still be too high

Treynor–Black Active Portfolio

CHWY takes 59% of the active sleeve: the highest alpha per unit of residual risk

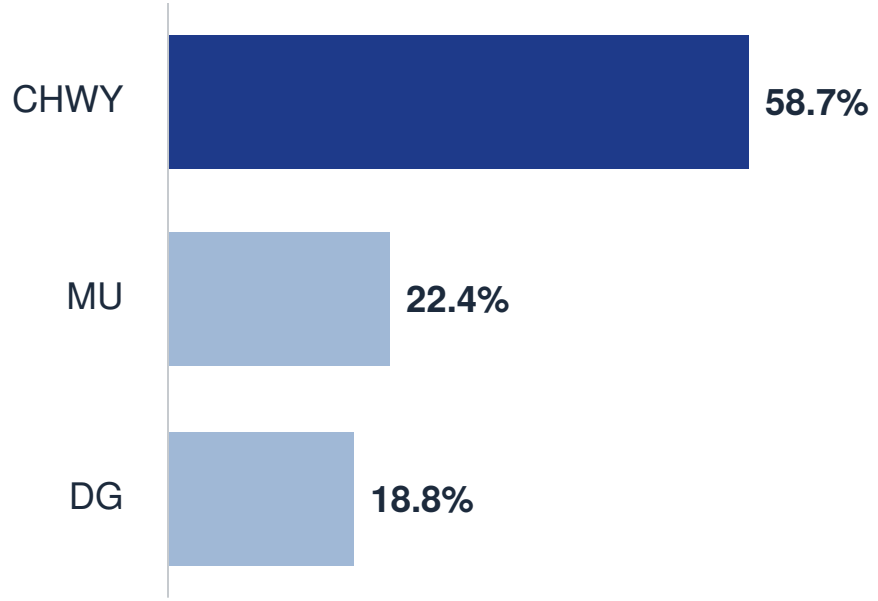
Stock	Alpha α	Beta vs SAA	Annualized residual vol σ(ε)	Info. ratio	Weight in sleeve
DG	+3.2%	0.83	34.9%	0.09	18.8%
CHWY	+19.9%	1.39	59.3%	0.34	**58.7%**
MU	+5.7%	2.65	65.2%	0.09	22.4%

0.376
ACTIVE-SLEEVE IR

0.217
IMPLIED IC PER CALL

–0.19
CHWY–MU RESIDUAL ρ
Negative correlation lifts CHWY's weight

Weight in the active sleeve



Tracking-Error Budget and Portfolio Risk

A 10.69% active weight keeps effective tracking error at 3.95%, inside our 4% internal limit

FROM MODEL WEIGHT TO FINAL SIZE

11.30%	Weight suggested by the model, with no constraint
10.69%	**Final active weight, sized to keep tracking error below our 4% limit**
3.95%	Resulting tracking error vs the SAA, inside the 2–5% mandate

RISK PROFILE VS THE SAA BENCHMARK

Measure	SAA	Tactical
Ex-ante volatility	8.63%	**9.85%**
1-month 5% VaR	4.10%	**4.68%**
Tracking error vs SAA	–	**3.95%**
Expected Sharpe	0.85	**0.93**



Final Portfolio and Execution

Nine SAA ETFs keep 89.31% of NAV; the three stocks take the remaining 10.69%

Ticker	Exposure	Price (6 Nov)	Weight
IVV	US large-cap equities	$738.68	9.76%
VEA	Developed ex-US equities	$67.90	9.89%
XLV	US healthcare equities	$184.80	10.59%
XLE	US energy equities	$61.62	9.14%
TIP	US inflation-linked Treasuries	$106.27	10.21%
SHY	1–3Y US Treasuries	$81.63	10.19%
IGSB	Short-term IG corporates	$51.57	10.20%
GLD	Gold	$372.52	9.87%
PDBC	Diversified commodities	$18.77	9.45%
DG	Dollar General	$133.75	2.01%
CHWY	Chewy	$22.56	6.28%
MU	Micron Technology	$690.00	2.39%

10.69%

ACTIVE SLEEVE

DG + CHWY + MU

89.31%

ETF SLEEVE

Nine SAA ETFs, drifted weights

STOCK PURCHASES, 7–8 NOVEMBER

Stock	Shares bought	Cost
DG	14,753	$1.97M
CHWY	272,671	$6.15M
MU	3,401	$2.35M
Total		**$10.47M**

Funded by selling 10.69% of each ETF's share count: **$10.47M proceeds, $528 cash residual.**

Key Risks and Catalyst Calendar

CATALYST CALENDAR · 7 NOVEMBER – LATE DECEMBER 2026



WHAT COULD GO WRONG

01 Valuation concentration
CHWY holds 59% of the sleeve; its value rests on a 15× peer multiple

02 Earnings-day surprises
Monthly-return TE does not capture single-day catalyst moves

03 Memory-cycle reversal
Falling memory prices could cut MU's earnings before they arrive

04 Energy drag persists
XLE and PDBC drove Round 1's –2.00% and still hold 19% of NAV

WHAT WE MONITOR — Results vs thesis · Effective TE vs 4.00% internal limit · Sleeve weight drift · Energy exposure

Our Tactical Allocation

Portfolio D – Inflation Resilient SAA | DG · CHWY · MU active sleeve

10.69%
ACTIVE WEIGHT
Funded pro rata from the nine ETFs

3.95%
EFFECTIVE TRACKING ERROR
Inside the 2–5% mandate and our 4% limit

9.85%
EX-ANTE VOLATILITY
vs 8.63% for the SAA

0.93
EXPECTED SHARPE
vs 0.85 for the SAA (model estimate)

The original Round 1 SAA remains the unchanged benchmark, while the tactical portfolio adds three valuation-driven stock positions funded through partial ETF sales.

Main risks to monitor until late December: CHWY's valuation, which carries 59% of the sleeve, and the three December earnings dates.